WHAT DOES IT INDICATE?

Harami candlestick patterns are a signal of a trend reversal in the market. This is because, in the case of a harami bear, the bulls were in complete control of the market, but the bears have not only just managed to stop the ascend of bulls but also managed a bear candle for themselves. This shows signs of the bulls wearing out and bears gaining control. We expect the bears to build on this and increase their control of the market.

The opposite of the same is also true for harami bull. However, here the transition of control is from bears to bulls. We expect the trend to reverse here. However, in practice, we will also see a lot of falls in harami on both sides. Segregating the true and the false ones is what art is about.

HOW TO TRADE?

We expect the trend to reverse once a harami candlestick pattern is formed. We will short the asset when a bear harami is formed and long the market in case of a bull harami. For a bear harami, we will take a position in the next session following the formation of harami, if the price opens lower than the harami candle's close price. We can have the stop loss as the high price of the bull candle just before the harami. The reverse of this is also true for bull harami. This way we define our entry strategy, stop losses, and exit circumstances.

A trader could use all his custom preferences here about when he would like to enter a trade and there is no such hard and fast rule bounding him. The above-mentioned rule is just a general suggestion. There is no limit to how creative one can get here and whatever makes their system work should be done.